

operable word is *reading*. Each report is 60 to 70 pages of dense information: no pictures, no color graphics, no charts. Those disciplined enough to start on page 1 and to continue uninterrupted are rewarded with a healthy dose of financial acumen, folksy humor, and unabashed honesty. Buffett is very candid in his reporting. He emphasizes both the pluses and the minuses of Berkshire's businesses. He believes that people who own stock in Berkshire Hathaway are owners of the company, and he tells them as much as he would like to be told if he were in their shoes.

The company that Buffett directs is the embodiment of his personality, his business philosophy (which is identically tied to his investment philosophy), and his own unique style. Berkshire Hathaway, Inc. is complex but not complicated. There are just two major parts; the operating businesses and the stock portfolio, made possible by the earnings of the noninsurance businesses and the insurance companies' float. Running through it all is Warren Buffett's down-to-earth way of looking at businesses he's considering buying outright, a business he's evaluating for common stock purchase, or the management of his own company.

Today, Berkshire Hathaway is divided into three major groups: its Insurance Operations; its Regulated Capital-Intensive Businesses, which includes MidAmerican Energy and the railroad Burlington Northern Santa Fe; and Manufacturing, Services and Retailing Operations, with products ranging from lollipops to jet airplanes. Collectively, these businesses generated, in 2012, \$10.8 billion in earnings for Berkshire Hathaway compared to the \$399 million Buffett the businessperson earned in 1988. At year-end 2012, Berkshire Hathaway's portfolio of investments had a market value of \$87.6 billion against a cost basis of \$49.8 billion. Twenty-five years ago, in 1988, Buffett the investor had a portfolio valued at \$3 billion against a cost basis of \$1.3 billion.

Over the past 48 years, starting in 1965, the year Buffett took control of Berkshire Hathaway, the book value of the company has grown from \$19 to \$114,214 per share, a compounded annual gain of 19.7 percent; during that period, the Standard & Poor's (S&P) 500 index gained 9.4 percent, dividends included. That is a 10.3 percent relative outperformance earned for almost five decades. As I said earlier, when the "money changer" shut down the Buffett Partnership, he was just getting started.